ANSWER KEY

25901172 **A**

Reg.No : .....
Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026
Fourth SEMESTER
Discipline Specific Elective (DSE) - MG4DSECOM203 - FIXED INCOME SECURITIES AND DEBT MARKET
(2024 ADMISSION ONWARDS)

Duration: 1 hour 15 minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. C:Government of India
2. B:Legal contract
3. B:Stable long-term returns
4. A:Resource allocation
5. D:Financial sector reforms
6. C:Have maturity of less than one year
7. D:Rupee-denominated foreign bonds
8. C:Bond indenture
9. A:Borrower
10. B:Offer fixed returns
11. B:Capital formation
12. D:Counterparty risk
13. A:Treasury Bills

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14. D:Mandatory for eligible participants

15. C:Half yealy

16. B:Central and state government

17. B:To raise funds for corporations through fixed-income instruments

18. A:Kevin Keller

19. A:Pays no interest and is issued at a discount

20. A:SEBI

21. A:Foreign Portfolio Investment

22. A:PPM

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. B:c → b → d → a

24. C:b → a → c → d

25. A:a → b → c → d

26. A:Both A and R are true, and R is the correct explanation of A.

27. C:a → b → c → d

28. D:A is false but R is true

29. C:A is true but R is false

30. A:Both A and R are true and R is the correct explanation of A

31. A:Both A and R are true and R is the correct explanation of A

32. C:Statement (1), (3) and (4) only

33. C:a-ii, b-iv, c-iii, d-i

34. C:Weighted Average Call Rate (WACR)

35. A:Both Statements are true

36. A:Both A and R are true and R is the correct explanation of A

37. D:Secured interbank liquidity management

38. B:Counterparty credit risk

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39. D:It includes both formal and informal institutions

40. B:₹ 25,000

41. B:Dated Government Securities (G-Secs) and State Development Loans (SDLs)

42. A:Both A and R are true, and R is the correct explanation of A.

43. B:Selling bonds to a select group of investors rather than the public

44. B:It provides "Credit Enhancement" to raise ratings for pension fund investment.

45. C:They can use existing demat accounts

46. B:Rising interest rate environment

47. B:8 years, redemption after 5 years

48. A:Both statements are true.

49. C:Practically no risk of default (risk-free)

[2x25 = 50]

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ANSWER KEY

25901172 **B**

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Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. A:Resource allocation
2. A:Pays no interest and is issued at a discount
3. D:Counterparty risk
4. A:Borrower
5. A:SEBI
6. B:Capital formation
7. B:Offer fixed returns
8. B:Legal contract
9. D:Mandatory for eligible participants
10. C:Bond indenture
11. B:Central and state government
12. A:Foreign Portfolio Investment
13. B:To raise funds for corporations through fixed-income instruments

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14. C:Government of India

15. D:Financial sector reforms

16. A:PPM

17. A:Treasury Bills

18. D:Rupee-denominated foreign bonds

19. A:Kevin Keller

20. C:Have maturity of less than one year

21. C:Half yealy

22. B:Stable long-term returns

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. A:Both A and R are true and R is the correct explanation of A

24. B:It provides "Credit Enhancement" to raise ratings for pension fund investment.

25. A:Both A and R are true, and R is the correct explanation of A.

26. D:Secured interbank liquidity management

27. B:8 years, redemption after 5 years

28. B:Rising interest rate environment

29. A:Both A and R are true and R is the correct explanation of A

30. D:It includes both formal and informal institutions

31. C:b → a → c → d

32. A:Both A and R are true, and R is the correct explanation of A.

33. A:Both Statements are true

34. C:They can use existing demat accounts

35. C:Statement (1), (3) and (4) only

36. B:c → b → d → a

37. C:Weighted Average Call Rate (WACR)

38. A:Both A and R are true and R is the correct explanation of A

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39. C:Practically no risk of default (risk-free)

40. B:₹ 25,000

41. C:a-ii, b-iv, c-iii, d-i

42. D:A is false but R is true

43. A:a → b → c → d

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47. B:Selling bonds to a select group of investors rather than the public

48. B:Counterparty credit risk

49. C:A is true but R is false

[2x25 = 50]

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